

Nassau Candy Distributor – Executive Summary

Product Line Profitability & Margin Performance Analysis

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1.Executive Summary

This project evaluates the product line profitability and margin performance of Nassau Candy Distributor using sales, cost, units, gross profit, product, and division data. The analysis focuses on identifying profitable products, low-margin products, division-level performance, profit and revenue concentration, cost-related margin risks, and margin variability over time. The dataset records total sales of \$141,783.63, gross profit of \$93,442.80, and 38,654 units, with an overall average gross margin of 67%. The analysis also shows that 5 products, representing 33.33% of the product portfolio, account for at least 80% of total profit and 80% of total revenue. These findings provide a data-driven basis for monitoring high-contribution products, reviewing low-margin products, and supporting pricing and cost-management decisions.

2.Key Findings

2.1 Overall Financial Performance

The analysis shows total sales of \$141,783.63, gross profit of \$93,442.80, and 38,654 units sold. The overall average gross margin is 67%, while margin volatility across the observed monthly periods is approximately 0.32 percentage points.

2.2 Product Profitability

Product-level analysis shows that profitability differs across the product portfolio. High-profit/high-margin products contribute strongly to overall performance, while high-sales/low-margin products require attention because strong sales volume does not necessarily result in proportionally strong profitability. Low-sales/low-profit products may also require portfolio review.

2.3 Division Performance

Division-level analysis compares revenue, gross profit, and average margin across the three divisions. The results demonstrate the importance of evaluating sales and profitability together rather than relying on revenue alone. Differences in average margin also highlight areas where cost structure and pricing should be monitored.

2.4 Margin Risk

Five products were identified with average margins at or below 50%: Kazooles, Fun Dip, SweetTARTS, Nerds, and Lickable Wallpaper. These products should be reviewed to identify whether pricing, product costs, or other factors are affecting their profitability.

2.5 Profit and Revenue Concentration

Pareto analysis shows that 5 products, representing 33.33% of the product portfolio, account for at least 80% of total gross profit. The same 5 products, also representing 33.33% of the portfolio, account for at least 80% of total revenue. This concentration indicates that a relatively small group of products has a substantial contribution to overall financial performance.

3. Recommended Actions

3.1 Protect High-Contribution Products

Products contributing strongly to revenue and gross profit should be monitored regularly for sales performance, margin changes, inventory availability, and cost increases. Maintaining their availability and profitability can help reduce disruption to overall business performance.

3.2 Review Low-Margin Products

The five products with margins at or below 50% should be reviewed to determine whether low margins are caused by high costs, pricing levels, or other product-specific factors. Appropriate pricing adjustments, supplier negotiations, or cost-reduction measures can be considered where applicable.

3.3 Improve High-Sales/Low-Margin Products

High-sales/low-margin products should receive particular attention because high sales volume does not always translate into strong profitability. Pricing, supplier costs, and product-level expenses should be reviewed to identify opportunities for margin improvement.

3.4 Monitor Profit Concentration

Since 33.33% of the product portfolio contributes at least 80% of total profit and revenue, these high-contribution products should be monitored carefully. Strengthening other profitable products can help reduce excessive dependence on a small group of products.

3.5 Continuous Performance Monitoring

Management should regularly monitor revenue, gross profit, average margin, product contribution, and margin trends. The interactive Excel and Streamlit dashboards developed in this project can support ongoing analysis and help identify emerging profitability risks.

4. Conclusion

This executive summary presents the major findings from the product line profitability and margin performance analysis of Nassau Candy Distributor. The analysis shows strong overall gross profit performance, but also identifies differences in product profitability, low-margin products, and concentration of revenue and profit among a relatively small group of products. The findings support continued monitoring of high-contribution products, review of low-margin products, and regular evaluation of pricing and cost structures. The Excel and Streamlit dashboards provide interactive tools for monitoring these measures and supporting data-driven business decisions.